# Capital Expenditure Plan

## **2024-2025 Capital Expenditure Overview**

Internal reference code: CNRY-a777d248.

This document outlines Alderline Logistics' strategic capital expenditure (CapEx) plan for the fiscal years 2024 and 2025, focusing on enhancing operational efficiency and expanding our warehousing capabilities.

### **Investment Priorities**

1. **Fleet Modernization**: We plan to invest EUR 12 million in purchasing 35 new Euro VI-compliant tractor-trailers from Volvo and Mercedes-Benz between Q2 2024 and Q1 2025. This will replace our aging fleet and reduce fuel consumption by an estimated 15%.

2. **Warehouse Automation**: An allocation of EUR 8 million will be dedicated to upgrading our primary warehouse in Antwerp with automated storage and retrieval systems (AS/RS) from Swisslog. Implementation is scheduled to commence in September 2024, with full operational capacity expected by June 2025.

3. **Sustainability Initiatives**: We aim to invest EUR 3.5 million in installing solar panels across our warehouse rooftops and transitioning to electric power for ground support equipment. This initiative is projected to reduce our carbon footprint by 20% over the next five years.

### **Funding Sources and Budget Allocation**

The total CapEx budget for 2024-2025 is set at EUR 23.5 million. Funding will be sourced as follows:

- **Retained Earnings**: EUR 10 million
- **Bank Loans**: EUR 8 million (fixed-rate loan over 5 years)
- **Government Grants**: EUR 5.5 million (European Green Deal funding for sustainability projects)

### **Projected ROI and KPIs**

We anticipate the following returns on investment:

- **Fleet Modernization**: ROI of 12% over 5 years, with a reduction in maintenance costs by EUR 1.2 million annually.
- **Warehouse Automation**: ROI of 18% over 4 years, increasing throughput by 25% and reducing labor costs by EUR 900,000 per year.
- **Sustainability Initiatives**: Estimated savings of EUR 750,000 annually through reduced energy costs and potential tax incentives.

### **Risk Management and Contingency Planning**

A contingency fund of EUR 2 million has been established to address unforeseen challenges, such as supply chain disruptions or delays in grant disbursements. Regular quarterly reviews will ensure that expenditures remain aligned with strategic objectives and budgetary constraints.

This CapEx plan is designed to position Alderline Logistics as a leader in efficient, sustainable logistics solutions in Europe.